

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,	)	
AMERICAN TRUCKING ASSOCIATIONS, INC.	)	
	)	
Complainant,	)	
	)	
v.	)	
	)	FMC Docket No. 20-14
OCEAN CARRIER EQUIPMENT MANAGEMENT	)	
ASSOCIATION, INC.; CONSOLIDATED CHASSIS	)	
MANAGEMENT, LLC; CMA CGM S.A.; COSCO	)	
SHIPPING LINES CO. LTD.; EVERGREEN LINE	)	
JOINT SERVICE AGREEMENT, FMC NO. 011982;	)	
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK	)	
A/S; MSC MEDITERRANEAN SHIPPING	)	
COMPANY S.A.; OCEAN NETWORK EXPRESS	)	
PTE. LTD.; WAN HAI LINES LTD.; YANG MING	)	
MARINE TRANSPORT CORP.; AND	)	
ZIM INTEGRATED SHIPPING SERVICES,	)	
	)	
Respondents.	)	
	)	

ANSWER OF RESPONDENT EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO. 011982 TO THE VERIFIED COMPLAINT

Respondent EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO. 011982 (“Evergreen”), by and through its undersigned counsel, hereby answers the Verified Complaint of INTERMODAL MOTOR CARRIERS CONFERENCE and AMERICAN TRUCKING ASSOCIATIONS, INC. (collectively, “Complainant”) as follows.

All admissions and denials below are limited to the allegations as they pertain to Evergreen. As to allegations pertaining to other Respondents, Evergreen denies knowledge or information sufficient to form a belief as to their truth.

Evergreen incorporates its First Affirmative Defense into its answer to each of the allegations of the Complaint.

INTRODUCTORY STATEMENT AND GENERAL DENIAL

The Complaint, rather than being a clear and concise factual statement of Complainant's claims, is an amalgam of conclusory statements, vague and undefined terminology, select quotations from hearsay documents and legal conclusions. The Complainant's lack of precision and mischaracterizations of organizations impose an undue burden upon Evergreen to answer within the rules governing pleadings.

Evergreen accordingly generally denies the claims alleged by the Complainant and, to the best of its ability, sets forth the below specific responses to the numbered paragraphs of the Complaint.

1. Denies the allegations in Paragraph 1 alleged against Evergreen, as they constitute legal conclusions to which no response is required. Evergreen lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

2. Denies the allegations in Paragraph 2 except:

- (a) Admits that the Consolidated Chassis Management Pool Agreement was filed in 2006 with the Federal Maritime Commission ("Agreement") which document speaks for itself;
- (b) Admits that at one or more points in time, Evergreen sold its chassis to third party providers; and
- (c) Lacks sufficient information or knowledge to admit or deny whether other OCEMA members sold their chassis to third-party providers.

3. Denies the allegations in Paragraph 3 alleged against Evergreen, as they constitute legal conclusions to which no response is required. Evergreen lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

4. Denies the allegations in Paragraph 4 against Evergreen, as they constitute legal conclusions to which no response is required. Evergreen lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

5. Denies the allegations in Paragraph 5 against Evergreen, as they constitute legal conclusions to which no response is required. Evergreen lacks sufficient information or knowledge to admit or deny allegations against the other Respondents.

6. Evergreen lacks sufficient information or knowledge to admit or deny.

7. Evergreen admits that OCEMA is a District of Columbia non-profit corporation and denies the remaining allegations of the first sentence of Paragraph 7 of the Complaint. Evergreen admits the allegations in the second sentence of Paragraph 7 of the Complaint. Admits only that the OCEMA website referenced in the third and fourth sentences of Paragraph 7 of the Complaint speaks for itself. Admits that OCEMA reaches agreements on policies relating to the operation of Chassis Pools, and denies the remaining allegations in the fifth sentence of Paragraph 7 of the Complaint. Admits only that the OCEMA website referenced in the sixth sentence of Paragraph 7 of the Complaint speaks for itself. Lacks sufficient information or knowledge to admit or deny the seventh sentence of Paragraph 7 of the Complaint as it does not specify the “Respondent” which it is referring to. Evergreen denies the seventh sentence of the Complaint if OCEMA is the “Respondent” that this allegation is referring to.

8. Evergreen admits that CCM is a Delaware limited liability company with headquarters located at 500 International Drive, Suite 130, Budd Lake, NJ 07828. Evergreen denies that mwilson@ccmpool.com is the email address of CCM but admits that it is the email address of an employee of CCM. Admits only that the CCMP Agreement and the CCM website referenced in Paragraph 8 of the Complaint speak for themselves.

9. Evergreen lacks sufficient information or knowledge to admit or deny.

10. Evergreen lacks sufficient information or knowledge to admit or deny.

11. Evergreen admits the first, second, third, fourth and fifth sentences of Paragraph 11 of the Complaint. Evergreen admits that TomWang@evergreen-shipping.us is an email address used by an Evergreen employee and denies the remaining allegations of Paragraph 11 of the Complaint.

12. Evergreen lacks sufficient information or knowledge to admit or deny.

13. Evergreen lacks sufficient information or knowledge to admit or deny.

14. Evergreen lacks sufficient information or knowledge to admit or deny.

15. Evergreen lacks sufficient information or knowledge to admit or deny.

16. Evergreen lacks sufficient information or knowledge to admit or deny.

17. Evergreen lacks sufficient information or knowledge to admit or deny.

18. Evergreen lacks sufficient information or knowledge to admit or deny.

19. Evergreen lacks sufficient information or knowledge to admit or deny.

20. The allegations in Paragraph 20 constitute legal conclusions to which no response is required. To the extent a response is required, Evergreen denies the allegations of the first sentence of Paragraph 20 of the Complaint and, as to the second sentence, admits only that the Shipping Act speaks for itself.

21. The allegations of the first, third and fourth sentences of Paragraph 21 constitute legal conclusions to which no response is required and, to the extent a response is required, Evergreen denies the allegations therein. As to the second sentence, admits only that FMC Agreement No. 011284 speaks for itself.

22. Admits only that the *Intermodal Factbook* referenced in Paragraph 22 of the Complaint speaks for itself and denies the remaining allegations in Paragraph 22 of the Complaint.

23. Denies the allegations in Paragraph 23 except:

- (a) Lacks sufficient knowledge or information to admit or deny the allegations of the first five sentences (ending with “. . . pick up another container.”) because they make no allegations against or which are specific to Evergreen;
- (b) Lacks sufficient information or knowledge to admit or deny the allegations of the sixth sentence (beginning “Depending on . . .”);
- (c) Denies the allegations of the seventh sentence (beginning “For MH movements . . .”);
- (d) As to the eighth sentence, admits that Evergreen allows motor carriers at least 5 free days (i.e., the day of delivery plus 4 or more business days) and charges per diem if the chassis is returned after expiration of free time based on the UIIA Addendum, except denies that the term “per diem” is a ‘denomination’; and
- (e) Lacks sufficient information or knowledge with respect to the practices of other ocean carriers.

24. Lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 24 because it makes no allegations against or which are specific to Evergreen.

25. Lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 25 because it makes no allegations against or which are specific to Evergreen.

26. Admits only that the IANA publication referenced in the first sentence of Paragraph 26 of the Complaint speaks for itself and denies the allegations of the last sentence of Paragraph 26 of the Complaint.

27. Admits only that the IANA publication referenced in the second sentence of Paragraph 27 speaks for itself. Denies the allegations of the third sentence as to itself and lacks sufficient knowledge or information to admit or deny the remaining allegations of Paragraph 27 of the Complaint.

28. Admits only that the *Surface Transportation Board Oversight Hearing on Demurrage and Accessorial Charges* and to *Operational and Commercial Changes in the Chassis World* referenced in the first and second sentences of Paragraph 28 speak for themselves. Evergreen admits that it does not own chassis in the United States and lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 28 of the Complaint.

29. Admits that TRAC Intermodal, Direct ChassisLink Inc. and Flexi-Van lease chassis. Evergreen lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 29 of the Complaint.

30. Lacks sufficient knowledge or information to admit or deny the allegations of Paragraph 30 because it makes no allegations against or which are specific to Evergreen. Evergreen lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 30 of the Complaint against the other Respondents.

31. Evergreen lacks sufficient information or knowledge to admit or deny.

32. Admits only that the documents referenced in Paragraph 32 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

33. Admits only that the documents referenced in Paragraph 33 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

34. Admits only that the documents referenced in Paragraph 34 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

35. Admits only that the CCMP Agreement referenced in Paragraph 35 of the Complaint speak for itself and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

36. Admits only that the documents referenced in Paragraph 36 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

37. Admits only that the documents referenced in Paragraph 37 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

38. Admits only that the Master Chassis Contribution Agreement referenced in Paragraph 38 of the Complaint speaks for itself and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

39. Evergreen lacks sufficient information or knowledge to admit or deny the first sentence of Paragraph 39 of the Complaint. Admits only that the 2019 report of the Memphis Supply Chain Innovation Team referenced therein speaks for itself and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

40. Admits only that the statement of Commissioner Rebecca Dye referenced in Paragraph 40 of the Complaint speaks for itself and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

41. Admits only that the OCEMA's statements referenced in Paragraph 41 of the Complaint speak for themselves and lacks sufficient knowledge or information to admit or deny the remaining allegations therein.

42. Admits only that the publication, *Interoperability Matters! The Interoperable Gray Pool Model, Enhancing Supply Chain Efficiencies*, speaks for itself. Denies that statements by CCM are attributable to OCEMA. The last sentence of Paragraph 42 constitutes a legal conclusion to which no response is required and, to the extent a response is required, Evergreen denies the allegations therein. Lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 42 of the Complaint.

AS TO THE CLAIMS OF UNJUST AND UNREASONABLE CONDUCT

43. Denies the allegations in Paragraph 43 alleged against Evergreen, as they constitute legal conclusions to which no response is required, and to the extent a response is required, Evergreen denies the allegations therein. Further, denies that ocean carriers are members of pools managed by CCM.

44. Admits only that the CCMP Operations Manual referenced in Paragraph 44 speaks for itself. Denies the second sentence of Paragraph 44 because the quotation from the CCMP Operations Manual is supplemented by bracketed commentary that renders the allegation incorrect and misleading. Further, denies the remaining allegations of Paragraph 44 as to Evergreen as they constitute legal conclusions to which no response is required. Evergreen lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 44 of the Complaint against the other Respondents.

45. Evergreen lacks sufficient information or knowledge to admit or deny.

46. Denies the allegations in Paragraph 46 except admits that CCM has a web site and refers to the web site for its wording.

47. Admits only that the Dye Statement reference in the second and third sentences of Paragraph 47 of the Complaint speaks for itself. Denies the first sentence of Paragraph 47 of the Complaint as to Evergreen, and lacks sufficient information or knowledge to admit or deny the allegations against the other Respondents.

48. Denies the allegations of Paragraph 48 of the Complaint against Evergreen. Evergreen lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 48 against the other Respondents.

49. Denies the allegations of Paragraph 49 of the Complaint against Evergreen, and lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 49 against the other Respondents.

50. Admits only that the reference to *Interpretive Rule on Demurrage and Detention Under the Shipping Act* in the second sentence of Paragraph 50 of the Complaint speaks for itself and denies the allegations in the first and third sentences of Paragraph 50 of the Complaint against Evergreen. Evergreen lacks sufficient information or knowledge to admit or deny the allegations in the first and third sentences of Paragraph 50 against the other Respondents.

51. Evergreen denies the allegations of the first sentence of Paragraph 51 of the Complaint and lacks sufficient information or knowledge to admit or deny the allegations of the second sentence of Paragraph 51 of the Complaint.

52. Evergreen denies the allegations in Paragraph 52 of the Complaint except admits that at COCP intermodal terminals in COCP regions, Evergreen was required by the respective railroad and ramp operator to designate a single IEP to provide chassis for the respective railroad's

mounted operations. Evergreen lacks sufficient information or knowledge to admit or deny the allegations of Paragraph 52 against the other Respondents.

53. Denies the allegations of Paragraph 53 of the Complaint as to Evergreen, as they constitute legal conclusions to which no response is required. Evergreen lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 53 alleged against the other Respondents.

54. Evergreen lacks sufficient information or knowledge to admit or deny.

55. Evergreen admits that the Pool-of Pools was established by major IEPs but lacks sufficient information or knowledge to admit or deny the remaining allegations of the first sentence of Paragraph 55 of the Complaint because the term interoperable is vague and not defined. As to the second sentence, admits only that the reference to the Pool of Pools website speaks for itself.

56. Denies the first sentence and also specifically denies all the allegations of Paragraph 56 alleged against Evergreen, as they constitute legal conclusions to which no response is required. Evergreen lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 56 against the other Respondents. And, answering further, notes that the quotations and references from the Trac Intermodal and Pool of Pool websites speak for themselves.

**AS TO THE CLAIMS OF UNJUST AND
UNREASONABLE REGULATIONS AND PRACTICES**

57. Denies the allegations of Paragraph 57 of the Complaint as it consists of conclusory statements and legal conclusions and lacks sufficient specificity to enable Evergreen to form a response thereto. Evergreen lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 57 against the other Respondents.

58. Evergreen lacks sufficient information or knowledge to admit or deny.

59. Evergreen lacks sufficient information or knowledge to admit or deny.

60. Admits that in accordance with an industry-wide contract, the UIIA, to which complainant's members are signatories and, in certain instances, private preferred trucker agreements, Evergreen provides chassis to the motor carriers and charges motor carriers chassis per diem charges if the chassis are not returned within 5 business days, i.e. the day of delivery plus 4 additional business days thereafter; but otherwise denies the allegations in Paragraph 60 of the Complaint and especially denies that Evergreen charges truckers chassis usage fees.

61. Evergreen lacks sufficient information or knowledge to admit or deny.

62. Evergreen lacks sufficient information or knowledge to admit or deny.

63. Evergreen lacks sufficient information or knowledge to admit or deny.

64. Evergreen lacks sufficient information or knowledge to admit or deny.

65. Evergreen lacks sufficient information or knowledge to admit or deny.

66. Evergreen lacks sufficient information or knowledge to admit or deny.

67. Evergreen lacks sufficient information or knowledge to admit or deny.

68. Evergreen lacks sufficient information or knowledge to admit or deny.

69. Denies the allegations of Paragraph 69 alleged against Evergreen. Evergreen lacks sufficient information or knowledge to admit or deny the remaining allegations of Paragraph 69 against the other Respondents.

**AS TO THE CAUSE OF ACTION THAT RESPONDENTS'
REGULATIONS AND PRACTICES VIOLATE 46 U.S.C. § 41102(C)**

70. Evergreen repeats and realleges each and every admission, denial, and denial of knowledge or information made in response to the allegations of Paragraph 1 through 69 of the Complaint as if the same were set forth at length herein.

71. Denies the allegations of Paragraph 71 as they constitute legal conclusions to which no response is required.

72. Denies the allegations of Paragraph 72 as they constitute legal conclusions to which no response is required.

73. Denies the allegations of Paragraph 73 as they constitute legal conclusions to which no response is required.

74. Denies the allegations of Paragraph 74 as they constitute legal conclusions to which no response is required.

75. Denies the allegations of Paragraph 75 as they constitute legal conclusions to which no response is required.

76. Denies the allegations of Paragraph 76 as they constitute legal conclusions to which no response is required.

77. Denies the allegations of Paragraph 77 as they constitute legal conclusions to which no response is required.

78. Denies the allegations of Paragraph 78 as they constitute legal conclusions to which no response is required.

79. Denies the allegations of Paragraph 79 as they constitute legal conclusions to which no response is required.

AS TO THE CLAIM OF INJURY

80. Denies the allegations of Paragraph 80 as they constitute legal conclusions to which no response is required.

81. Denies the allegations of Paragraph 81 as they constitute legal conclusions to which no response is required.

82. Denies the allegations of Paragraph 82 as they constitute legal conclusions to which no response is required.

AFFIRMATIVE DEFENSES

1. The Federal Maritime Commission lacks subject matter jurisdiction.
2. Complainant has failed to join indispensable parties.
3. Complainant has failed to state a claim upon which relief can be granted.
4. Complainant has failed to allege sufficient facts to state a claim for relief.
5. Complainant lacks standing.
6. Complainant did not suffer any actual injury.
7. Complainant fails to demonstrate causation for its alleged injury.
8. The Federal Maritime Commission lacks jurisdiction over Respondents, Ocean Carrier Equipment Management Association, Inc. and Consolidated Chassis Management, LLC.
9. Complainant's claims are barred in whole or in part by the doctrines of waiver, estoppel and/or laches.
10. Complainant's claims are barred by the doctrine of unclean hands.
11. Complainant's claims are barred in whole or in part by reason of ratification, agreement, or consent to the alleged conduct by Complainant and/or its members.
12. The Complaint fails to state a claim against Evergreen upon which relief can be granted in that:

- (a) Motor carriers taking delivery of Evergreen containers have the option of using chassis provided by Evergreen, or alternatively, using their own chassis, or chassis they lease from an IEP.
- (b) Evergreen does not charge truckers chassis usage fees for use of its chassis. It charges only per diem of \$20 per calendar day for each chassis not returned with 5 days free time (i.e., the day of delivery plus 4 business days) based on the Evergreen Addendum which is incorporated into the UIIA with Motor Carriers; and
- (c) Evergreen's per diem rate is equal to or less than the chassis usage rates published by the three major independent equipment providers identified in the Complaint

WHEREFORE Respondent, Evergreen Line Joint Service Agreement, FMC No. 011982, prays that the Complaint in this proceeding be dismissed with prejudice.

Respectfully submitted,

CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: Paul M. Keane
Counsel for Respondent Evergreen Line Joint
Service Agreement, FMC No. 011982
Paul M. Keane
Joseph De May
50 Main Street
White Plains, NY 10606
(212) 344 – 7042

DATED: February 11, 2021

COZEN O'CONNOR

By: Wayne R. Rohde
Counsel for Respondents¹
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

¹ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation, and as co-counsel for Evergreen Line Joint Service Agreement.

VERIFICATION

TOM WANG, hereby verifies as follows:

- 1) I am Deputy Jr. Vice President in the Equipment Control Section of the Logistical Department of Evergreen Shipping Agency (America) Corporation which is the North American Agent for Evergreen Line Joint Service Agreement, FMC No. 011982.
- 2) I am authorized to make this verification on behalf of the Answering Respondent.
- 3) I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
- 4) I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: February 11, 2021

Respectfully submitted,

Tom Wang

TOM WANG